# BEACON PLAZA

Charlotte, NC | Suburban / Multi-Tenant Office

Investment / Sales Offering Memorandum

| | |
|---|---|
| **Property** | Beacon Plaza |
| **Market** | Charlotte, NC |
| **Asset type** | Office (multi-suite) |
| **Total rentable area** | 66,360 SF (12 suites) |
| **Evaluation date** | August 31, 2026 |
| **Underwritten NOI (before reserves)** | $1,039,217 |
| **Underwritten NCF (after reserves)** | $1,035,617 |
| **Concluded valuation (NOI ÷ 7.50% cap)** | $13,856,224 |
| **Maximum sized loan** | $8,313,734 (LTV-bound) |
| **Asking price** | Not supplied |
| **Photos / market comps / sponsor history** | Not supplied |

*Source-backed analysis. Assumptions remain subject to diligence.*

## 1. Executive Summary

Beacon Plaza is a 12-suite multi-tenant office property in Charlotte, NC comprising 66,360 rentable square feet across three suite types (4 Small at 5,380 SF, 4 Standard at 5,500 SF, 4 Large at 5,710 SF). As of the certified rent roll dated August 31, 2026, nine suites are in physical possession (active), one is pending (not yet in possession), and two are vacant, yielding a physical occupancy of 75.00% on both a unit and area basis. The property manager's cover note characterizes the property as 10-of-12 leased by counting the pending suite alongside actives; the certified detail — which the cover explicitly states controls physical occupancy — is 9 of 12.

Trailing-12 cash operating results through August 31, 2026 show rental and ancillary collections of $1,456,920 and reported NOI of $1,003,656. Prescribed underwriting produces an EGI of $1,538,640, operating expenses of $499,423, NOI (before reserves) of $1,039,217, and NCF (after reserves) of $1,035,617. Capitalized at 7.50% on NOI-before-reserves, concluded valuation is $13,856,224. Sized against LTV 60% / DSCR 1.25x / DY 9.0% at a 6.75% sizing rate (30-year amortization), the maximum loan is $8,313,734, LTV-constrained. Net cash-out after 1% origination, $45,000 closing costs, and $6,500,000 existing payoff is **+$1,685,597**; the transaction does not require additional equity at these terms.

Asking price, photos, market sales and rent comps, and sponsor history were not provided in the source packet and are not inferred here.

## 2. Property & Suite Mix

The property comprises three suite types. Group A / B / C correspond in order to Small / Standard / Large per the manager cover note. Suite type composition is a balanced 4-4-4 across small, standard, and large footprints.

| Group | Suite type | Suite count | SF per suite | Total SF | Active (occ.) | Pending | Vacant |
|---|---|---|---|---|---|---|---|
| A | Small | 4 | 5,380 | 21,520 | 3 | 1 | 0 |
| B | Standard | 4 | 5,500 | 22,000 | 3 | 0 | 1 |
| C | Large | 4 | 5,710 | 22,840 | 3 | 0 | 1 |
| **Total** | | **12** | | **66,360** | **9** | **1** | **2** |

## 3. Lease & Occupancy Analysis

The certified rent roll dated August 31, 2026 lists nine active suites, one pending, and two vacant. Physical occupancy is 9 / 12 = 75.00% on units and 49,770 / 66,360 = 75.00% on area. Annual in-place contractual rent (active suites only, at certified rents) totals $1,214,100.

Suite 001 carries an executed lease at $11,050 monthly base rent expiring February 28, 2027 — the sole near-term rollover within the 12-month horizon from the evaluation date. Its area is 5,380 SF and security deposit $22,100. The property manager confirmed in writing on August 31, 2026 that no amendments or new rent concessions affect Suite 001; the executed lease also states no free-rent concession applies as of the evaluation date.

All other active leases expire August 31, 2029, providing a stable four-year weighted lease term outside the Suite 001 rollover.

| Suite | Type | Grp | SF | Status | Monthly rent | Expiration |
|---|---|---|---|---|---|---|
| 001 | Small | A | 5,380 | active | $11,050 | 2027-02-28 |
| 002 | Standard | B | 5,500 | active | $11,200 | 2029-08-31 |

| | | | | | | |
|---|---|---|---|---|---|---|
| 003 | Large | C | 5,710 | active | $11,475 | 2029-08-31 |
| 004 | Small | A | 5,380 | active | $11,050 | 2029-08-31 |
| 005 | Standard | B | 5,500 | active | $11,200 | 2029-08-31 |
| 006 | Large | C | 5,710 | active | $11,475 | 2029-08-31 |
| 007 | Small | A | 5,380 | active | $11,050 | 2029-08-31 |
| 008 | Standard | B | 5,500 | active | $11,200 | 2029-08-31 |
| 009 | Large | C | 5,710 | active | $11,475 | 2029-08-31 |
| 010 | Small | A | 5,380 | pending | $11,050 | 2029-08-31 |
| 011 | Standard | B | 5,500 | vacant | $11,200 | 2029-08-31 |
| 012 | Large | C | 5,710 | vacant | $11,475 | 2029-08-31 |
| **Totals** | | | **66,360** | | **$134,750/mo** | |

Highlighted rows: yellow = pending (not in possession); orange = vacant. Source: rent-roll-certified.xlsx (as of 2026-08-31); lease-001.pdf; lease-correspondence.pdf.

# 4. Historical vs. Underwritten Financials

The historical statement (2025-09-01 to 2026-08-31) is a cash operating ledger and is not an annualized rent-roll total. Underwriting follows the prescribed methodology: all-suite scheduled monthly rent on the current certified roll before the Suite 001 amendment, times twelve, less 5% economic loss, plus $350 per suite of other income; expenses include tax, insurance, and other recurring opex as stated, management at 3% of EGI, and replacement reserves at $300 per suite.

| Line item | Historical T-12 | Underwritten | Δ |
|---|---|---|---|
| Rental & ancillary collections / UW EGI | $1,456,920 | $1,538,640 | +$81,720 |
| Real estate tax | ($169,974) | ($169,974) | $0 |
| Insurance expense | ($56,658) | ($56,658) | $0 |
| Other recurring opex | ($226,632) | ($226,632) | $0 |
| Roof replacement (capital, not opex) | $0 | $0 | $0 |
| Management fee (3% EGI — UW only) | — | ($46,159) | ($46,159) |
| **NOI (before reserves)** | **$1,003,656** (reported) | **$1,039,217** | **+$35,561** |
| Replacement reserves ($300/unit — UW only) | — | ($3,600) | ($3,600) |
| **NCF (after reserves)** | — | **$1,035,617** | |

Reported historical NOI ($1,003,656) and underwritten NOI ($1,039,217) are labeled distinctly per the manager cover instruction — they use different definitions.

# 5. Debt Sizing & Sources / Uses

Debt is sized against three constraints on the greater of the note rate (6.75%) and the underwriting rate floor (6.00%) — that is, 6.75%. The 6.75% rate binds because it exceeds the floor; the floor is not binding at these terms. Amortization is 30 years, monthly. DSCR and debt yield are computed on NCF after reserves.

| Constraint | Formula | Loan |
|---|---|---|
| LTV 60% | 60% × $13,856,224 | **$8,313,734** ← binding |
| DSCR 1.25x on NCF | $1,035,617 ÷ (1.25 × 0.0778318) | $10,644,669 |
| Debt yield 9.0% on NCF | $1,035,617 ÷ 9.0% | $11,506,853 |

## Sources & Uses

| Sources | | Uses | |
|---|---|---|---|
| New loan | $8,313,734 | Existing loan payoff | $6,500,000 |
| | | Origination fee (1%) | $83,137 |
| | | Closing costs | $45,000 |
| | | Net cash-out to sponsor | $1,685,597 |
| **Total sources** | **$8,313,734** | **Total uses** | **$8,313,734** |

Net cash-out is positive; no additional sponsor equity is required at these terms. Sizing metrics at the max loan: LTV 60.00%, DSCR 1.60x (NCF), Debt Yield 12.46% (NCF).

# 6. Risks & Pending Diligence

Risks are assessed independently. Where a source conflict exists and is resolvable, the resolution is explained rather than left open.

| Risk | Status | Explanation |
| --- | --- | --- |
| Pending suite counted as leased in manager headline | present | Manager cover reports 10 of 12 leased (active + pending). Certified detail — which the cover states controls physical occupancy — shows Suite 010 as pending / not in possession. Underwriting treats pending as vacant. |
| Near-term rollover (next 12 months) | present | Suite 001 lease expires 2027-02-28 (~6 months from evaluation date). Represents $11,050 monthly base rent / 5,380 SF. |
| Missing insurance | absent | Insurance policy declaration present (insurance.pdf): GL aggregate limit $2,000,000, effective 2026-07-01 through 2027-06-30. Policy limit is distinct from the $56,658 annual insurance expense — not double-counted. |
| Capital expenditure classified in recurring opex | absent | Operating statement shows roof replacement at $0 in repairs line with explicit note that it is a capital improvement and no recurring repair component is included. |
| Unsigned rent-change proposal affecting in-place rent | absent | No unsigned proposal is in the packet. Lease excerpt states an unsigned proposal does not change the agreement, and the PM confirmation dated 2026-08-31 states no amendments or new concessions affect Suite 001. |
| Temporary free-rent concession understating in-place rent | absent | Lease-001 states: “No free-rent concession applies as of the evaluation date.” |
| Sizing rate floor binding | absent | Note rate 6.75% exceeds the 6.00% underwriting floor; sizing uses 6.75%, so the floor is not binding at current terms. |
| Refinance shortfall (negative net cash-out) | absent | Net cash-out is +$1,685,597 after payoff, origination, and closing. No additional sponsor equity required. |

### Pending Diligence (routine)

Per the diligence-status memo, legal, environmental, property condition, and title reviews have not been completed. These are routine pending items and are not findings of a defect. No evidence of contamination, litigation, fraud, or structural failure is supplied and no such findings are asserted here.

# 7. Source Notes

| Source file | Content | Date / As-of |
| --- | --- | --- |
| manager-cover.pdf | Property / market / asset; group mapping A/B/C = Small/Standard/Large; occupancy convention | — |
| rent-roll-certified.xlsx | Primary certified rent roll — 12 suites, area, monthly rent, status, expirations | 2026-08-31 |
| rent-roll-archive.xlsx | Prior rent roll — provides pre-Suite-001-amendment monthly ($10,975) | 2026-06-30 |
| lease-001.pdf | Executed lease excerpt — Suite 001, $11,050 monthly, expiration 2027-02-28, no free rent | — |

| | | |
|---|---|---|
| lease-correspondence.pdf | PM confirmation — no amendments / new concessions affect Suite 001 | 2026-08-31 |
| operating-statement.pdf | T-12 cash operating ledger, reported NOI $1,003,656; roof capitalized | 2025-09-01 → 2026-08-31 |
| insurance.pdf | Policy declaration — GL aggregate limit $2,000,000 | Effective 2026-07-01 → 2027-06-30 |
| underwriting-instructions.pdf | All UW rules — GPR method, economic loss, other income, mgmt %, reserves, cap, LTV/DSCR/DY, rate floor, sources & uses | — |
| diligence-status.pdf | Diligence memo — routine pending legal / environmental / PCA / title | — |

This memorandum uses only the sources listed above. No external research, market comps, sponsor history, asking price, or photographs are supplied; their absence is labeled rather than inferred.